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(FEDERAL MARITIME COMMISSION)

FEDERAL MARITIME COMMISSION

WASHINGTON, D. C.

October 26, 2004

DOCKET NO. 04-07

TRANS-NET, INC.

v.

FESCO OCEAN MANAGEMENT LIMITED

**NOTICE OF TENTATIVE RULINGS AND
OBSERVATIONS ON RESPONDENT'S DISPOSITIVE
MOTIONS AND AGENDA FOR ORAL ARGUMENT**

This ruling concerns a complaint that was filed by an NVOCC known as Trans-Net, Inc. (Trans-Net) operating in the U.S. West Coast/Russian Far East trade against a carrier known as Fesco Ocean Management Limited (FOML). Trans-Net alleges that FOML is actually an NVOCC, not a vessel-operating carrier, that FOML has violated 10 sections of the Shipping Act of 1984, and has caused Trans-Net monetary injury by these alleged violations. This complaint is the second one that Trans-Net has filed against FOML. The first complaint was filed in Docket No. 03-08, and

alleged that two sections of the 1984 Act had been violated by FOML. The complaint focused primarily on an unfiled agreement between FOML and another carrier known as P&O Nedlloyd (PONL) and practices under that agreement. However, when FOML filed a successor agreement with the Commission, which agreement went into effect on April 26, 2004, it appeared that the original complaint was out of date and needed considerable updating to reflect the current situation. Consequently, FOML's motion to dismiss was granted without prejudice. See Docket No. 03-08, *Trans-Net, Inc. v. FESCO Ocean Management Limited*, Dismissal of Complaint With Leave to Amend; Motion for Summary Judgment Denied Without Prejudice as Being Premature, 30 S.R.R. 299 (ALJ, May 13, 2004, F.M.C. notice of non-review, June 15, 2004).

The complaint that began the instant proceeding was served on July 1, 2004. This complaint was considerably enlarged beyond the earlier complaint that was dismissed as described above. The instant complaint goes beyond the earlier allegations that FOML was operating under an unfiled agreement and harming Trans-Net in its practices under that agreement and now cites some 10 sections of the 1984 Act alleged to have been violated by FOML and again asks for a cease and desist order, reparations, interest and attorney's fees. As in the earlier case, respondent FOML has filed a Motion to Dismiss and Motion for Summary Judgment, to which Trans-Net has replied. In addition, respondent FOML has requested permission to make an oral argument on its two motions, to which Trans-Net has replied in opposition. However, although arguing that there is no need for oral argument to supplement the pleadings, Trans-Net suggests that if such an oral argument is permitted that the presiding judge limit the matters to be argued. Trans-Net argues that it is within the presiding judge's discretion whether to allow oral argument to supplement written pleadings and that to allow an open-ended supplemental oral argument by FOML would be tantamount to allowing

a reply to a reply with no opportunity for Trans-Net to prepare counter oral argument. I find merit in Trans-Net's arguments.

As will be seen in the discussion below, I find it necessary to supplement the written pleadings with additional information and argument as to the specific matters described below. As I indicated in the ruling in Docket No. 03-08, cited above, it would be imprudent and invite reversal of my rulings on the pending motions if the record were not adequately developed so as to enable me to issue sound and reasonable rulings on these early dispositive motions. See ruling cited, 29 S.R.R. at 305, citing five Commission cases. Accordingly, I will briefly discuss the applicable rules of law governing motions to dismiss and for summary judgment and then, applying these rules, indicate my tentative views and the need for further information to be submitted at oral argument.

**Applicable Principles of Law Regarding
Motions to Dismiss and Motions for Summary Judgment**

As in the previous complaint filed by Trans-Net against FOML in Docket No. 03-08, seeking dismissal for summary judgment, rulings on FOML's motions seeking dismissal or summary judgment will be decided on the basis of the same legal principles dealing with such motions. These principles were discussed in my previous ruling in Docket No. 03-08, cited above, 30 S.R.R. at 304-305. It is not necessary to repeat in great detail what these principles dictate. However, it would be appropriate to describe them briefly and to augment the description as may be necessary to apply to the instant situation.

The salient points of the law dealing with motions for dismissal and for summary judgment are as follows: There are several methods of disposing of complaints at an early stage of a

proceeding if there are fatal defects in the complaints on their face or if complainant, after due opportunity to obtain evidence, cannot show that there are genuine issues of material fact that require a more developed factual record on which the court can resolve genuine issues of material fact, usually by trial. A motion to dismiss primarily looks at the face of the complaint to see if, assuming all the factual allegations by complainant are true, complainant would not be entitled to judgment under the substantive law invoked by complainant. A motion for summary judgment, on the other hand, looks to see if complainant has credible evidence that raises genuine issues of material fact that warrant further litigation, usually by trial. In either type of motion, the factual allegations made by complainant are taken as being true, i.e., it is assumed that complainant can prove them and that, if proven, they would entitle complainant to relief under the substantive law invoked by the complainant. The summary-judgment procedure has been encouraged by the Supreme Court in recent years and it is recognized that its purpose is to weed out baseless claims and defenses that do not deserve to take up a court's time in needless trials. However, there are cases in which courts will not grant summary judgment because the issues require more fully developed records in more complex cases, especially if the complainant has not been given an opportunity to show that he has credible evidence that he needs to develop in discovery. As noted in my previous ruling, the Supreme Court, although encouraging greater use of summary judgments to avoid needless trials, "endorsed judicial discretion to refrain from summary judgment notwithstanding the generally favorable attitude toward summary judgment reflected in the Court's 1986 trilogy." (Footnote omitted.) See 11 *Moore's Federal Practice* (3d ed.), sec. 56.32[6] at 56-272-273, cited in my previous ruling, 30 S.R.R. at 304. As mentioned above, I also noted in my previous ruling that the Commission or its judges have declined to issue summary judgment or

have vacated early rulings because of inadequate records or when complainants have not yet had an opportunity to obtain evidence supporting their claims through discovery. Five Commission cases were cited in support of this proposition. Furthermore, if there is a motion to dismiss, which focuses on the face of the complaint, and it appears that it would be very difficult for complainant to prove his allegations, the complaint cannot be dismissed. As the Supreme Court stated in *Scheur v. Rhodes*, 416 U.S. 232, 236 (1974): “Indeed it may appear on the face of the pleadings that a recovery is very remote and unlikely but that is not the test.” See ruling cited, 30 S.R.R. at 309 n.6, citing *Scheur v. Rhodes* and other cases. There are many other cases following this principle both as applied to motions to dismiss and to motions for summary judgment. See, e.g., *Swierkiewicz v. Sorema, N.A.*, 534 U.S. 506, 515 (2002) (motion to dismiss); *Hayden v. First National Bank of Mt. Pleasant*, 595 F.2d 994, 997 (5th Cir. 1979) (summary judgment); *Jobson v. Henne*, 355 F.2d 129, 133 (2d Cir. 1966) (summary judgment). 10A Wright and Miller, *Federal Practice and Procedure*, sec. 2725 at 432 n. 38. However, difficulty of proof is one thing; impossibility of obtaining relief because of a fatal infirmity in legal theory is another. See *First Commercial Trust Co., N.A. v. Colt’s Mfg. Co.*, 77 F.3d 1081, 1083 n. 4 (8th Cir. 1996) (litigants have no entitlement to discovery absent a plausible legal theory). Cf. *Neitzke v. Williams*, 490 U.S. 319, 327 n. 6 (1989) (patently insubstantial complaint may be dismissed, for example, for want of subject-matter jurisdiction).

The courts hold that if a complaint can survive a motion to dismiss on the face of the complaint and, having survived such a motion, is met with a motion by respondent asking for summary judgment, a complainant must be given a fair opportunity to show that he has credible evidence worthy of proceeding to trial, if necessary by obtaining such evidence through discovery.

The Commission follows this principle in its cases. See, e.g., *International Freight Forwarders and Custom Brokers of New Orleans v. Latin America Shippers Service Association (LASSA), et al.*, 27 S.R.R. 392, 402-403 (ALJ 1995) (motions to dismiss or for summary judgment denied when complainants had not had opportunity to obtain facts through discovery); Rule 56(f), F.R.C.P.; ruling in Docket No. 03-08, cited above, 30 S.R.R. at 305, and Commission cases cited therein; *NPR, Inc. v. Board of Commissioners of the Port of New Orleans*, 28 S.R.R. 1512, 1417 (ALJ, administratively final, April 19, 2000).

Finally, as I discussed in *LASSA*, cited above, 27 S.R.R. at 394, although the Supreme Court ruled that the summary-judgment procedure is no longer disfavored and can be used even in complex cases, the law still imposes on parties moving for summary judgment a heavy burden to show that there is no genuine issue of material fact and that the movant is clearly entitled to judgment as a matter of law without undergoing the expense of trial. Thus, in *LASSA*, I quoted the following language from one authority (10A Wright, Miller and Kane, *Federal Practice and Procedure*, sec. 2727 at 121-129, now found at pages 455-462 (1998 edition)):

Thus, it is well-settled that the party moving for summary judgment has the burden of demonstrating that the Rule 56(c) test—"no genuine issue as to any material fact"—is satisfied and that the movant is entitled to judgment as a matter of law. The movant is held to a stringent standard. Before summary judgment will be granted it must be clear what the truth is and any doubt as to the existence of a genuine issue of material fact will be resolved against the movant. Because the burden is on the movant, the evidence presented to the court always is construed in favor of the party opposing the motion and the opponent is given the benefit of all favorable inferences that can be drawn from it. Finally, facts asserted by the party opposing the motion, if supported by affidavits or other evidentiary material, are regarded as true. (Emphasis added.) (Internal footnote omitted.)

Analysis of the Ten Sections of Law
Alleged by Trans-Net to Have Been Violated by FOML

As I noted earlier, Trans-Net has considerably augmented the complaint that it has filed in Docket No. 03-08, by alleging that some 10 sections of the 1984 Act have been violated by FOML. The following sections of the 1984 Act have been so named and I have provided a brief description of the subject matter of each for the reader's convenience:

Section 5 (failure to file an agreement)

Section 10(a)(1) (obtain lower rates by an unjust or unfair means)

Section 10(a)(2) (operate under agreement not filed)

Section 10(a)(3) (operate under an agreement not according to its terms)

Section 10(b)(1) (allow persons to pay less than required by an unfair or unjust device or means)

Section 10(b)(2)(A) (fail to charge rates in its tariff or service contracts)

Section 10(b)(3) (retaliate against shippers)

Section 10(d)(1) (fail to observe reasonable practices relating to receipt, handling, etc. of property)

Section 19(a) (operate as an NVOCC without having a license)

Section 19(b) (operate as an NVOCC without having a bond)¹

Trans-Net also alleges that FOML violated 46 C.F.R. 535.901, which provides that failure to file an agreement required to be filed may subject the party to civil penalties.

¹In its complaint, Trans-Net specified that section 19(a) has been violated but does not mention section 19(b). However, its allegation that FOML failed to provide a bond or evidence of financial responsibility, if true, would violate section 19(b) of the Act.

At this juncture, bearing in mind that I am required to view the complaint and the evidentiary materials submitted with it in the light most favorable to Trans-Net, I examine each allegation to determine if Trans-Net can survive a motion to dismiss or for summary judgment and, more particularly, if there is some impediment in law to allowing Trans-Net to proceed to try to develop evidence. Also, there is a critical threshold issue relating to the question whether FOML has already been found by the Commission to be a vessel-operating carrier and not an NVOCC (non-vessel operating common carrier) that Trans-Net alleges FOML to be. Finally, there is a question whether because of the fact that FOML has filed its Space Charter Agreement and case law holds that failure to file agreements is not the proximate cause of monetary damages that any useful purpose would be served by litigating FOML's failure to file its previous agreement that it claims to have been an exempted non-exclusive transshipment agreement.

FOML argues that the Commission has already decided that FOML is a vessel-operating common carrier (as well as not being a controlled carrier) and cites what it calls a "Commission Report, dated May 30, 2003," which appears to have so found. FOML Motions at 5. This "Report" consists of four identical letters sent by Chairman Blust to members of the Senate and House Appropriations Committees and is attached to FOML's Motions as "Exhibit 2." In addition, FOML cites the fact that FOML is a party to various agreements that it has filed with the Commission without Commission staff objecting to them on grounds that NVOCCs cannot enter into such agreements. Indeed, argues, FOML, in the most recent filing by FOML of its Space Charter Agreement (No. 011873), the Commission allowed that agreement to go into effect without questioning whether FOML was entitled to enter into such an agreement, which NVOCCs could not

do. FOML also cites the Commission's decision in *Ocean Common Carriers Subject to the Shipping Act of 1984*, 28 S.R.R. 1414, 1418 (FMC 2000), where the Commission stated:

[T]he term "ocean common carrier" will include only those common carriers who actually operate a vessel in at least one United States trade. In addition, if a common carrier is an ocean common carrier in one U.S. trade, it can act as an ocean common carrier in all U.S. trades.

FOML proceeds to argue, citing my ruling of May 13, 2004, in Docket No. 03-08, cited above, 30 S.R.R. at 307, that the question whether FOML is an NVOCC or a vessel-operating carrier is one of law in which the presiding judge does not have to view allegations of fact in the light most favorable to the nonmovant, i.e., Trans-Net, and if this question has already been decided by the Commission, Trans-Net's claims under sections 5, 10(a)(1), 10(a)(2), 10(a)(3), 19(a), and 19(b) would be disposed of in whole or in part. (FOML's Motions at 7.)

Trans-Net vigorously disputes FOML's assertions that FOML has been found by the Commission to be a vessel-operating common carrier. Trans-Net argues that FOML actually is a stand-in for FESCO, FOML's parent, who is the ocean carrier serving the trades in which FOML claims to operate vessels and that FOML is asking the presiding judge to find that FOML is an ocean common carrier merely based on FOML's own say-so. (Trans-Net Reply at 14.) More specifically, Trans-Net disputes FOML's claim that FOML is an ocean common carrier merely because FOML is a party to agreements that have become effective under the Shipping Act, that FOML is an ocean common carrier because it allegedly provides and contributes vessels in the trade between the United States and Oceania, and that FOML's status as an ocean common carrier has been confirmed by the Commission in letters to congressional committees. (*Id.*) Trans-Net argues that parties cannot confer jurisdiction on the Commission by their agreement, and that if a party ceases to operate as

an ocean common carrier, the Commission loses jurisdiction over that party and cannot confer antitrust immunity over that party's agreement. Even if FOML at one time operated vessels in a U.S. foreign trade, according to Trans-Net, which does not admit that to be true, FOML has not submitted any evidence now that shows that FOML "operates" any vessels in any U.S. trade. Thus, Trans-Net points out that FOML's witness, Mr. Aspi Rostami, FOML's Vice-President and General Manager, does not say that FOML "operates" vessels in another U.S. trade (U.S./Australia-New Zealand), only that FOML "provides" or "contributes" vessels. (*Id.* at 16.) Trans-Net also argues that the information submitted to the Commission by FOML on which the Commission relied is several years old and that certain vessels that Mr. Rostami states were "contributed" by FOML were actually owned by FESCO and operated by FESCO and that consequently FOML was or is not operating vessels in another U.S. trade, thereby acting as an NVOCC in U.S. trades.

Trans-Net challenges FOML's argument that the Commission has already decided that FOML is a vessel-operating carrier in U.S. trades pursuant to the letters signed by Chairman Blust to the congressional committees mentioned above. Trans-Net argues that the Commission's reply to the congressional committees referred to by Mr. Rostami was not the result of an adversary proceeding in which every affected party could present evidence and seek to rebut opposing evidence. Instead, argues Trans-Net, the presiding judge is asked to give effect to the Commission's letters to Congress without seeing the information on which the Commission relied. Trans-Net cites *United States Lines, Inc. v. Federal Maritime Commission*, 584 F.2d 519, 533 (D.C. Cir. 1978), in which the court remanded a case to the Commission involving approval of an agreement by the Commission pursuant to section 15 of the Shipping Act, 1916, based on undisclosed information reposing in the Commission's files. Trans-Net argues finally that the Commission's letters to

Congress occurred before Trans-Net had filed either of its complaints with the Commission and had the Chairman been aware of these complaints about FOML's status under the Shipping Act, the response to Congress would have been different. (*Id.* at 19.) Consequently, Trans-Net argues that it "seeks to have the opportunity to confront the data relied upon by the Commission and to have the opportunity to examine and dispute such data within the rigors of an adversarial setting." (*Id.* at 19.) Moreover, Trans-Net argues that "[w]ithout reasonable opportunity for Trans-Net to adequately learn the facts relied upon in the Commission's letters through the full use of discovery and/or any other available means or procedures [there] would surely result . . . an impermissible prejudgment of Trans-Net's case [that] . . . would certainly circumvent the rights of an aggrieved complainant to seek justice through proper adjudicatory processes." (*Id.* at 20-21.)

Possible Disposition of Particular Claims

In examining the 10 sections of the 1984 Act that Trans-Net alleges to have been violated by FOML, I find that some may be dismissible depending on whether FOML is found to be an NVOCC or a vessel-operating common carrier (VOCC); some may be dismissible because FOML did file its Space Charter Agreement and the failure to file the previous agreement is not the proximate cause of Trans-Net's alleged damages according to case law; some may be dismissible because the particular section of the 1984 Act was not designed to apply to Trans-Net's allegations even if they are proven; and some may survive a motion for dismissal or for summary judgment regardless of whether FOML is found to be an NVOCC or a VOCC. However, even for those that survive there remains the question of whether the legal theory connecting the alleged violation with

the alleged monetary damages is sufficiently valid to permit Trans-Net to conduct discovery to uncover evidence.

At the outset I believe that it is necessary to determine whether FOML is an NVOCC or a VOCC because as FOML states: “[A] good portion of the Trans-Net complaint rises or falls on whether FOML is, as a matter of law, an ocean common carrier.” FOML Motions at 6. If FOML is found to be a VOCC, then Trans-Net’s complaint under sections 19(a) and 19(b) would have to be dismissed. That is because both of these sections apply only to NVOCCs (and ocean freight forwarders), now called “ocean transportation intermediaries”). Moreover, the section 10(a)(1) allegations would have to be dismissed as well. That is because that law was not designed to apply to VOCCs but rather to shippers in their relationships with carriers. Section 10(a)(1) of the 1984 Act is the successor to section 16, initial paragraph, Shipping Act, 1916, which was added to the 1916 Act in 1936 at the behest of carriers who wanted some protection against dishonest shippers. See discussion in *Waterman Steamship Corp. v. General Foundries, Inc.*, 26 S.R.R. 1173, 1177-1179 (I.D., adopted in relevant part, 26 S.R.R. 1173 (1984); *Unpaid Freight Charges*, 26 S.R.R. 735, 739-740 (FMC 1993). Section 10(a)(1) simply is not written or designed to prohibit one VOCC from failing to pay the lawful rates and charges of another such carrier because there is no shipper-carrier relationship between such carriers. It is only if FOML acted as an NVOCC, which is a shipper in relation to VOCCs, that section 10(a)(1) would apply, assuming that proper allegations of fact were made in the complaint.

Another section of the 1984 Act that would be affected if FOML were to be found to have acted as an NVOCC rather than as a VOCC would be section 10(a)(3), which, as I discuss below, like section 10(a)(2), applies only to agreements “required to be filed under section 5 of this Act.”

Since such agreements can apply only to VOCCs, this section is inapplicable to FOML if it were in fact acting as an NVOCC and Trans-Net's allegation that FOML has violated section 10(a)(3) by not adhering to the terms of any such agreement would be inapplicable.

Two additional sections of the 1984 Act that Trans-Net alleges were violated by FOML are also significantly affected by the issue concerning whether FOML is an NVOCC or a VOCC. These sections are sections 5 and 10(a)(2). Section 5 requires persons to file agreements with the Commission that are within the scope of section 4 of the 1984 Act. Section 10(a)(2) prohibits persons from operating under agreements required to be filed that have not been filed and become effective or have been rejected, disapproved or canceled. However, if FOML was and is an NVOCC, these two sections of law do not apply because only VOCCs are subject to them.² On the other hand, if FOML was and is a VOCC, then FOML would be subject to these particular laws. A problem exists, however, in such a case because FOML has filed its Space Charter Agreement, effective April 26, 2004, whereas prior to that time it was operating under a predecessor agreement that Trans-Net claims should have been filed as a space charter or connecting-carrier agreement whereas FOML contends that the previous agreement was a non-exclusive transshipment agreement that was exempted from filing pursuant to 46 C.F.R. 535.306. The fact that FOML had failed to file its previous agreement and had operated under it was apparently a main reason for Trans-Net's complaint against FOML in Docket No. 03-08, which was dismissed because the successor

²Section 5 of the 1984 Act requires the filing of certain types of agreements "entered into with respect to an activity described in section 4(a) or (b) of the Act. . . ." But section 4(a) specifies that such agreements must be "by or among ocean common carriers. . . ." Section 4(b) of the Act specifies only agreements "among marine terminal operators." An "ocean common carrier" is defined to mean a "vessel-operating common carrier" in section 3(16) of the Act. Section 10(a)(2) is limited to "an agreement required to be filed under section 5 of this Act" Thus, in contending that FOML is an NVOCC that has violated sections 5 and 10(a)(2), Trans-Net is arguing against itself.

agreement was filed. See Docket No. 03-08, Dismissal of Complaint, etc., 30 S.R.R. 299, cited above.

The problem now is that even if FOML is found to be a VOCC and to have violated sections 5 and 10(a)(2) in the past, Trans-Net's request for a cease and desist order is now obviously moot but, more importantly, the question arises as to whether any useful purpose would be served by allowing Trans-Net to seek to develop evidence about the withdrawn agreement when Commission case law has consistently held that failure to file agreements is not the proximate cause of damages to another party.³ Failure to file may lead to the Commission's assessing civil penalties pursuant to 46 C.F.R. 535.901, cited by Trans-Net in its complaint. However, that is not the same thing as awarding reparations to a private party and civil penalties issues are not included in private complaint cases.⁴ Furthermore, if Trans-Net is allowed to litigate this failure-to-file issue and attempts to discover evidence that might show that FOML's violations proximately caused Trans-Net to lose shipper-customers to FOML, there will be problems because of the fact that Trans-Net and FOML are competitors, there may be vast numbers of shipping documents to be examined, and the confidentiality of such documents, especially as regards a competitor, is obvious.

Another section of the 1984 Act that Trans-Net claims was violated by FOML is section 10(b)(1) of the Act that prohibits carriers from allowing "any person to obtain transportation for property at less than the rates or charges established by the carrier in its tariff or service contract by

³In the following cases it was held or ruled that the failure to file an agreement or the failure to file a rate in a tariff was not the proximate cause of damages to a complaining party. See *Prudential Lines, Inc. v. Farrell Lines, Inc.*, 22 S.R.R. 1054 (1984); *Prudential Lines, Inc. v. Farrell/Zim*, 22 S.R.R. 826 (1984); *Puget Sound Tug & Barge Co. v. Foss Launch & Tug Co.*, 5 S.R.R. 67 (1964); *Carton-Print, Inc. v. Austasia Container Express SS Co.*, 17 S.R.R. 571, 578-581 (1977) (failure to file tariff rate not the proximate cause of injury to complainant).

⁴See *California Shipping Line, Inc. v. Yangming Marine Transport Corp.*, 25 S.R.R. 1213, 1231 (1990); *Prudential Lines, Inc. v. Farrell/Zim*, cited above, 22 S.R.R. at 851; *Bloomers of California, Inc. v. Ariel Maritime Group, Inc.*, 26 S.R.R. 183 n. 1 (1992).

means of false billing . . . or by any other unjust device or means.” FOML argues that this section is the corollary of section 10(a)(1) because for both sections of law there must be someone underpaying a carrier by some unfair or unjust means. However, Trans-Net does not make any such allegation. Since I have been considering evidentiary materials in addition to the bare complaint, I must treat FOML’s motion as one for summary judgment. See Rule 12(b)(6), F.R.C.P., last sentence. In such cases Trans-Net normally would be afforded an opportunity to seek out evidence to support its bare allegations. However, in view of the fact that any violation of section 10(b)(1) would constitute a violation of section 10(b)(2)(A), which prohibits carriers from providing service that “is not in accordance with the rates, charges, classifications, rules, and practices contained in a tariff . . . or a service contract . . .,” litigating the section 10(b)(1) issue would be unnecessary.⁵ Moreover, if FOML is an NVOCC, as Trans-Net argues, then section 10(b)(1) would not apply as regards service contracts (nor would section 10(b)(2)(A) because NVOCCs are not allowed to offer service contracts to their shipper-customers under the 1984 Act). For the sake of judicial efficiency, therefore, I would dismiss the section 10(b)(1) claim rather than allow Trans-Net to burden the proceeding with a search for evidence of some type of unfair device or means when section 10(b)(2)(A) does not require evidence of such device or means, only that the carrier did not adhere to its tariff (or service contract rates).

There are two other sections of the 1984 Act alleged to have been violated by FOML that may have to be dismissed. They are sections 10(b)(3) and 10(d)(1) of the Act. Section 10(b)(3) of the Act forbids a carrier to:

⁵However, proving violations of section 10(b)(1) in addition to section 10(b)(2)(A) might serve a useful purpose if this were a Commission investigation seeking to assess civil penalties on FOML for violations of every section of the 1984 Act in question.

(3) retaliate against any shipper by refusing, or threatening to refuse, cargo space accommodations when available or resort to other unfair or unjust discriminatory methods because the shipper has patronized another carrier, or has filed a complaint, or for any other reason.

FOML argues that Trans-Net's allegations of fact do not fit the requirements of this law because this law applies to carriers retaliating against shippers, not competing carriers like Trans-Net, which, although an NVOCC, does not operate in a shipper-carrier relationship with FOML. Moreover, FOML argues that Trans-Net is already suing FOML in the Superior Court of the State of Washington to enjoin a former FOML employee, Tom Madderom, from working for FOML in Russia, that the claim that FOML was retaliating against Trans-Net by hiring away Trans-Net employees merely because Trans-Net filed a complaint against FOML in Docket No. 03-08, makes no sense, that it is highly unlikely that Trans-Net could prove lost business to FOML when there are common customers and four competing carriers and Trans-Net has no exclusive claim to any of these customers. FOML cites sworn statements of FOML employees to the effect that the hired-away employees in question do not work in U.S. trades, have no sensitive information about Trans-Net to give to FOML or its affiliates nor have done so. Moreover, FOML cites evidence that Trans-Net has itself hired away former FESCO employees. (See FOML's Motions at 13 n. 11, citing "Exhibit 6.") Finally, FOML argues that the state court has recently denied Trans-Net's motion for a preliminary injunction. (FOML's Motions at 13.)

Trans-Net replies to FOML, arguing that it has submitted evidence showing that FOML did in fact retaliate against Trans-Net because Trans-Net filed a complaint against FOML, and furthermore that a former Trans-Net employee, who was hired away from Trans-Net, told Peter Moe, Trans-Net's President, that FOML's hiring away of one of Trans-Net's high-level employees

was in reaction to Trans-Net's filing of a complaint with the Commission. (Trans-Net's Reply at 21, citing Peter Moe's affidavit.) Trans-Net also argues that section 10(b)(3) does not require a direct shipper/carrier relationship because any person may file a complaint with the Commission without regard to the person's relationship with a respondent and that Trans-Net may recover reparations from FOML even if FOML did not carry any of Trans-Net's cargo. (*Id.* at 21-22.)

As I discussed above, when ruling on a motion for summary judgment, I am required to construe the factual allegations in the light most favorable to the nonmovant, here Trans-Net. The same is true for motions to dismiss. Also, as discussed earlier, the test for dismissing a complaint or for rendering summary judgment against complainant is not whether it is unlikely that the complainant can prove his allegations. However, if the underlying legal theory is defective, it would be improper to permit a complainant to spend time and money in an effort to elicit evidence because even if factual evidence supporting complainant's legal theory were correct, no relief could be granted. In other words, courts have not permitted discovery to plaintiffs if their underlying legal theories were defective. See *First Commercial Bank Trust Co., N.A. v. Colt's Mfg. Co.*, cited above, 77 F.3d at 1083 n. 4 (8th Cir. 1996); *McKenna Trucking Co. v. A. P. Moller-Maersk and Maersk, Inc.*, 27 S.R.R. 1045, 1051 *et seq.*, citing *Matsushita Electrical Industrial Co., Ltd. v. Zenith Radio Corp.*, 475 U.S. 574 (1986); *First National Bank v. Cities Service Co.*, 391 U.S. 253 (1968); cf. *Campbell v. City of San Antonio*, 43 F.3d 973, 975 (5th Cir. 1995); and *Blackburn v. Marshall City of*, 42 F.3d 925, 931 (5th Cir. 1995).

I could construe Trans-Net's allegations that FOML has unlawfully retaliated against Trans-Net in order to harm Trans-Net's business in the light most favorable to Trans-Net, as I am required to do under the law of summary judgment. I could also allow Trans-Net to supplement its evidence

so far submitted, namely the Peter Moe Declaration, which is untested by cross-examination and is based on a purported remark by a former Trans-Net employee, Mr. Madderom, regarding FOML's purported intention to hire away Trans-Net employees in retaliation. This is possible because the question of FOML's intent is relevant and involves a dispute of material fact that would defeat a motion for summary judgment. However, before deciding that further discovery and possible trial on this question would be necessary, I must be satisfied that Trans-Net's underlying legal theory is valid, i.e., that FOML can, as a matter of law, violate section 10(b)(3) by luring away important Trans-Net employees in retaliation against Trans-Net for filing a complaint against FOML in Docket No. 03-08. Neither Trans-Net nor FOML has cited the leading case interpreting the predecessor law to section 10(b)(3) of the 1984 Act, namely, *Federal Maritime Board v. Isbrandtsen Co.*, 356 U.S. 481 (1958), which interpreted section 14, Third, Shipping Act, 1916, nor other cases limiting the scope of section 10(b)(3), except for the case of *California Shipping Line, Inc. v. Yangming Marine Transport Corp.*, 27 S.R.R. 1213 (1990). However, there are other Commission decisions in which the Commission has interpreted section 10(b)(3) or its predecessors narrowly and has found no violation of the anti-retaliation law.

In the *Isbrandtsen* case, the Supreme court affirmed the Court of Appeals that had set aside a decision of the Federal Maritime Board that had approved a dual-rate system in which carrier conferences had signed up various shippers to exclusive "dual rate" contracts requiring shippers to ship exclusively with conference carriers on pain of suffering coercive assessments. The Court held that the system was a device to curtail outside non-conference competition and was thus a "resort to other discriminating or unfair methods." The Court analogized this broad language in section 14 Third to various anticompetitive practices that Congress had outlawed that carriers had used in 1916

to stifle competition, such as “fighting ships,” deferred rebates and refusal of space accommodations to shippers and held that “the practices outlawed by the ‘resort to’ clause of section 14 Third take their gloss from the abuses specifically proscribed by the section; that is, they are confined to practices designed to stifle outside competition.” (356 U.S. at 495.)

The Supreme Court’s interpretation of the same language that now appears as section 10(b)(3) could arguably suffice to validate Trans-Net’s legal theory that FOML has lured away important Trans-Net employees for the purpose of stifling Trans-Net’s ability to compete. However, the Commission has never to my knowledge found a violation of this law or its successors (sections 10(b)(5) and 10(b)(3) of the current Act) and certainly not because a carrier had lured away a competitor’s employees with intent to curtail that competitor’s ability to compete. See *North River v. F C & N Co.*, 20 S.R.R. 1078, 1082 (ALJ 1981); *California Shipping Line, Inc. v. Yangming Marine Transport Co.*, cited above, 27 S.R.R. at 1224-1225; *Consumer Electronics Shippers Association v. ANERA*, 26 S.R.R. 85 (ALJ 1991) (summary judgment granted in part, not appealed); *Western Overseas Trade and Development Corp. v. ANERA*, 26 S.R.R. 1066, 1079 (ALJ 1993), affirmed, 26 S.R.R. 1239 (FMC 1994). In the last cited case, furthermore, the Commission opined that it would apply strict standards to complaints filed under then section 10(b)(5).

All of the above does not mean that I have decided to dismiss Trans-Net’s section 10(b)(3) claim. It only means that I require additional argument from counsel on the question whether the Commission can find a violation of section 10(b)(3) of the Act if it is shown that FOML did in fact

lure away Trans-Net employees with the intent of stifling competition even if Trans-Net is not a shipper in relation to FOML.⁶

The remaining allegation made by Trans-Net is that FOML has violated section 10(d)(1) of the Act by misrepresenting to the shipping public that FOML is affiliated with the Grand Alliance, an association of four carriers, and that FOML has obtained cargo by means of this alleged misrepresentation. Like the above allegation involving section 10(b)(3), the legal theory based on misrepresentation is somewhat novel and could be found to be invalid even if Trans-Net's factual allegations, which FOML disputes, are found to be true. FOML argues that it has a right to advertise names of vessels in its direct advertising to its shipper-customers under Article 5.2 of its new Space Charter Agreement with PONL and has only inadvertently once allowed the name of Grand Alliance or Grand Alliance vessels to be named in an advertisement in a third party publication (the *Pacific Shipper*) because it had been unable to change the advertisement before it was published. FOML also argues that Trans-Net nowhere alleges that FOML ever represented that it was a member of the Grand Alliance or that any shipper ever booked with FOML because the shipper mistakenly believed that FOML was a member of the Grand Alliance. FOML also points out that Trans-Net itself advertises that it offers "regular shipping lines" but that Trans-Net does not operate any vessels and that Trans-Net names specific vessels in its own web page. Moreover, FOML cites from the Commission's "Report" sent to congressional committees that advises Congress that FOML has the

⁶Another problem with Trans-Net's legal theory under section 10(b)(3) is that Trans-Net has filed suit in state court against its former employee, Mr. Madderom, in an attempt to enjoin him from disclosing sensitive and privileged information about Trans-Net's business to FOML to which he allegedly was unlawfully lured. In his affidavit, Mr. Moe, Trans-Net's President, states that Trans-Net is seeking "to enforce Mr. Madderom's non-compete clause. . . ." (Moe Affidavit, Attachment 1 to Trans-Net's Reply, at 7.) If so, then Trans-Net believes that it will suffer harm to its business because FOML has allegedly committed a tort that is cognizable in court. This is the tort known as "interference with contractual relations," which is discussed in great detail in *Prosser and Keeton on Torts* (5th ed.), sec. 129. Does this mean that what Trans-Net labels as a "retaliation" cognizable under section 10(b)(3) of the Act is in reality a tort cognizable in the courts?

ability to utilize space on the vessels of other ocean carriers and “to advertise those vessels on which it is taking space.” (FOML’s Motions at 15.) FOML concludes (*Id.* at 15-16):

The fact is that FOML had a transshipment agreement with P&O Nedlloyd and it now has a filed and effective space charter agreement with P&O Nedlloyd. It has every right to inform its customers of its sailing schedules and the names of the vessels being utilized.

FOML submits certain evidentiary materials in support of its arguments. (*Id.* at 14-16.)

In its Reply to FOML’s Motions, Trans-Net argues that FOML is engaging in deceptive practices as regards the shipping public by not describing fully its transshipment service and by representing to the shipping public that it is affiliated with the Grand Alliance. Trans-Net cites the case of *Ghezzi Trucking, Inc. Cancellation of Inactive Tariff*, 11 S.R.R. 598, 690 (I.D., adopted, May 19, 1970), which, according to Trans-Net, holds that a carrier cannot hold out or advertise to the shipping public in a deceptive way. Trans-Net also disputes FOML’s reliance on the Commission’s “Report” to the congressional committees, which Trans-Net calls the “Commission Letters,” arguing that the information supporting these “Letters” is unknown and the “Letters” were sent prior to the time FOML filed its Space Charter Agreement, effective April 26, 2004, which Agreement, Trans-Net argues, has unusual advertising restrictions. (Trans-Net’s Reply at 22-24.) Trans-Net supports some of these arguments with the Affidavit of Peter Moe, its President, at 8 (Attachment 1 to the Reply).

As in the section 10(b)(3) situation, in ruling on a motion for summary judgment, I do not resolve factual disputes but interpret Trans-Net’s evidence so far submitted in the light most favorable to Trans-Net. However, as discussed, if the underlying legal theory will not afford Trans-Net any relief even if all its allegations are taken as true, then I would have to dismiss this part

of the complaint and thus not allow Trans-Net to litigate the issue by using the Commission's discovery rules. My preliminary examination of Commission cases under section 10(d)(1) of the 1984 Act and section 17, second paragraph, Shipping Act, 1916, the predecessor law, indicates that Trans-Net may be pushing the envelope. In an early case, namely, *Los Angeles By-Products Co. v. Barber S.S. Lines*, 2 U.S.M.C. 106, 114 (1939), the Commission held that the predecessor to this law "relates to service performed at the terminal as distinguished from the carrying or transporting by the vessel." In later cases the Commission continued to interpret this law as applying to terminal activities only. Some of these cases are: *Time Limit on the Filing of Overcharge Claims*, 10 F.M.C. 1, 7 (1966); *Definition of Package*, 23 S.R.R. 111, 114 (1985); *Heavy Lift Practices & Charges of Hapag-Lloyd*, 17 S.R.R. 505, 527-533 (I.D., adopted, 18 S.R.R. 1491 (1977)). However, later cases involving unreasonable practices of NVOCCs in refusing to release cargoes at destinations or to pay charges to fulfill their duties to carry and deliver or to carry out their duties to deliver have been decided by the Commission against these NVOCCs. See, e.g., *Total Fitness, Inc. v. Worldlink Logistics*, 28 S.R.R. 45 (I.D.), adopted, 28 S.R.R. 534 (1998), affirmed under the name *Worldlink Logistics, Inc. v. Federal Maritime Commission*, 203 F.3d 54 (D.C. Cir. 1999) (table); *Adair v. Penn-Nordic*, 26 S.R.R. 11 (I.D.), F.M.C. notice of finality (1991); *Bernard & Weldcraft Welding Equipment v. Supertrans International, Inc.*, 29 S.R.R. 1348 (2003); *Brewer v. Maralan, et al.*, 29 S.R.R. 6 (2001). It should be noted that in both *Brewer v. Maralan* and *Total Fitness, Inc.*, the respondent NVOCC had engaged in a type of "bait and switch" practice in which the respondent had in some fashion represented to the shipper that it would charge for the shipment and apparently in the *Brewer* case that it had tariff authority, which it did not.

In view of the earlier cases cited above placing restrictions on the scope of section 10(d)(1) and its predecessor and the fact that no previous case involved exactly the same allegation, namely, misrepresentation to the shipping public of the type alleged by Trans-Net, I would benefit by hearing counsel on the matter of the scope of section 10(d)(1).

**The Status of the Commission's Letters
Purporting to Find FOML to be a VOCC**

As discussed above, I find that it is necessary to determine whether FOML is a VOCC or an NVOCC because that preliminary determination will significantly affect the issues in this case and could narrow them considerably. FOML relies on four Commission letters sent to congressional committees in response to inquiries. FOML claims that these letters advised Congress that FOML is a wholly-owned subsidiary of FESCO that "does operate regular service in the U.S. trades." The letters further state that FOML "operates three vessels in the United States - Australia trade" and that "it has the ability to enter into agreements with other ocean common carriers in the U.S. trades and to offer service contracts to shippers." (Commission letters at 2, quoted in FOML's Motions at 5.) FOML also argues that FOML is a member of other agreements that were filed with the Commission that only ocean common carriers could join and that, as recently as this spring, the Commission had the opportunity to examine the FOML-PONL Space Charter Agreement, which was protested by Trans-Net, but allowed the Agreement to go into effect. (FOML's Motions at 5.) As FOML points out, only ocean common carriers are allowed by law to enter into such agreements. Finally, FOML argues, as it did in Docket No. 03-08, that the Commission has decided in a reported decision that if a company operates a vessel in at least one United States trade, it can act as an ocean common

carrier in all U.S. trades. Thus, in the case of *Ocean Common Carriers Subject to the Shipping Act of 1984*, cited above, 28 S.R.R. at 1418, the Commission stated:

[T]he term “ocean common carrier” will include only those common carriers who actually operate a vessel in at least one United States trade. In addition, if a common carrier is an ocean common carrier in one U.S. trade, it can act as an ocean common carrier in all U.S. trades. (Emphasis added.)

In addition to the above, FOML submits an affidavit of Mr. Aspi Rostami, its Vice-President and General Manager, in which Mr. Rostami states that FOML “operates as an ocean common carrier in the U.S./Australia-New Zealand trade as a member of the U.S. Pacific Coast/Oceania Agreement, FMC Agreement No. 011741” Under that Agreement, he states, “FOML is required to and does provide three of the vessels employed in the Pacific Northwest string, calling at ports in California” and other places. (Declaration of Aspi Rostami at para. (3).) Mr. Rostami also refers to three vessels “currently contributed by FOML to the Pacific Coast Oceania VSA” which are time chartered from other companies and states that FOML has “time chartered various other vessels and deployed them in the service between the United States and Oceania.” (*Id.* at paras. (3) and (4), and footnote 1.) Finally, Mr. Rostami describes various types of services that FOML has offered and does offer currently. (*Id.* at para. (5).) One of the services that FOML currently provides, according to Mr. Rostami, is a direct service to Russian Far East ports on vessels that FOML voyage charts from its parent, FESCO. He also states that FOML offers this direct service for carriage to Russia of containerized, breakbulk and other cargoes at published tariff rates. He attaches an advertisement for this direct service to his affidavit. (*Id.*)

Trans-Net disputes all of FOML’s contentions and challenges the evidence submitted by FOML described above. It argues that I should not give conclusive evidentiary weight to the

Commission letters which, argues Trans-Net, are based on information furnished to the Commission by interested parties, which information was not made known to other parties in an adversary proceeding and is untested. Trans-Net argues that it would be improper to rely on the letters for this reason and that a court once reversed a Commission decision because the Commission relied on undisclosed evidence in its files that was not allowed to be tested by an adversary party.⁷

I find that Trans-Net's arguments regarding the questionable status of the Commission's letters in terms of their precedential or binding value are not without some merit. However, the letters in question were not the result of a formal proceeding required to be reported by law and subject to judicial review under the Hobbs Act (28 U.S.C. sec. 2344) as are Commission decisions. It is my view that the letters are more in the nature of advisory opinions or policy statements that are consistent with the Commission's decision in *Ocean Common Carriers Subject to the Shipping Act of 1984*, cited above, which was a properly conducted rulemaking proceeding in which numerous parties submitted comments which the Commission considered before enunciating its interpretation of the term "ocean common carrier" that appears in the Shipping Act of 1984. As a properly conducted proceeding leading to a reported decision of the Commission that was free of the type of procedural defects cited by Trans-Net as regards the four Commission letters, there is no doubt that I am bound by that decision as an administrative law judge in this agency. This is so whether or not I agree with that decision. The four Commission letters therefore appear to me to be consistent with that earlier decision, which earlier decision does have precedential and binding effect on me. See *Hatch v. Federal Energy Regulatory Commission*, 654 F.2d 825 (D.C. Cir. 1981), in

⁷Trans-Net cites the case of *United States Lines, Inc. v. Federal Maritime Commission*, 584 F.2d 519, 533 (D.C. Cir. 1978). In this case the court overturned the Commission's approval of an amendment to an agreement subject to section 15 of the Shipping Act, 1916, for various reasons, including the Commission's reliance on undisclosed evidence reposing in Commission files and the absence of adversarial comment by parties to the proceeding.

which the ALJ followed his Commission's previous decisions even though the ALJ believed that they were incorrect.

As discussed, however, FOML has submitted other supporting evidence, such as an affidavit of Mr. Rostami, in which he states that FOML operates as an ocean common carrier in another U.S. trade and contributes or provides vessels in that trade. However, Trans-Net disputes Mr. Rostami as to the meaning of "contributes" and "provides" and argues that neither FOML nor Mr. Rostami ever states that FOML "operates" vessels in the other U.S. trade. Rather, argues Trans-Net, it is FOML's parent FESCO that operates as a VOCC while FOML, according to Trans-Net, is really an NVOCC in the Russian Far East trade. (Trans-Net's Reply at 15-16; 27.) In Trans-Net's own words:

FOML masquerades as an ocean common carrier while FOML's billion dollar parent FESCO actually calls the shots and operates as the ocean common carrier in the RFE and FANAL trades. (*Id.* at 27.)

Under the law of summary judgment, a presiding judge is not supposed to resolve factual disputes but is only supposed to determine if genuine issues of material fact exist so that further litigation is required, including a trial, if necessary, and an opportunity for the non-movant to seek out supporting evidence in discovery if the non-movant has not yet had an opportunity to do so. Trans-Net argues that the question of FOML's status is a question of material fact, not of law. If so, I must deny FOML's Motion for Summary Judgment and allow Trans-Net to use discovery to seek to elicit credible evidence worthy of trial. Moreover, if Trans-Net is correct that it needs to elicit evidence in discovery, then I must allow Trans-Net to do this despite all the evidence and materials that FOML has submitted that, absent Trans-Net's disagreement, seem to show that FOML

qualifies as a VOCC under the Commission's decision in *Ocean Common Carriers*, cited above, the numerous acceptance of various agreements by the Commission that can only involve ocean common carriers, and Mr. Rostami's declaration that FOML provides or contributes vessels under other agreements, all filed with the Commission. Furthermore, it is not clear exactly what type of evidence Trans-Net believes it could elicit in discovery, especially what it believes it could do to discredit Mr. Rostami's statements. Moreover, if, as Trans-Net argues, FOML is only "masquerading" as an ocean common carrier while FOML's "billion-dollar parent FESCO" actually calls the shots and operates as the ocean common carrier in the RFE and FANAL trades, does that mean that FOML does not qualify to be considered a VOCC in the subject RFE trade because it is only FOML's wealthy parent that admittedly operates as a VOCC in other U.S. trades and in the RFE trade? In view of the above questions, I believe it necessary for counsel to address these questions at oral argument and for Trans-Net to explain what kind of questions it believes it should address to Mr. Rostami or what other evidence it believes it needs to obtain to enable a presiding judge in a bench trial (i.e., without a jury) to make findings of fact and to apply the law.

The Oral Argument

As discussed above, I believe that the present record based on written pleadings and attached evidentiary materials is not quite sufficient to enable me to decide whether Trans-Net's complaint and its many allegations can survive a motion to dismiss or for summary judgment and, based on previous rulings of the Commission, a dispositive ruling on these many questions on such a record might be vacated as being premature. Accordingly, counsel shall study these tentative rulings and prepare to address the matters discussed therein. I would also be agreeable to their submitting

supplemental written memoranda restricted to the matters discussed above if they believe it necessary to protect their positions. The primary purpose of this oral argument, however, is to assist the presiding judge in understanding the parties' positions on the many issues raised in the pleading.

It is my intention to hear oral argument not later than November 8, 2004. Counsel shall therefore confer and advise me of their recommendations regarding supplemental memoranda and a convenient date for the oral argument.⁸

Norman D. Kline

Norman D. Kline
Administrative Law Judge

⁸I have allowed time for counsel to study these tentative rulings and observations. To avoid delay that could result should the oral argument be transcribed I have decided that the arguments need not be transcribed. However, I will consider counsel's recommendations that written memoranda on the various matters discussed should be submitted to me before the oral argument. It may also become apparent at the oral argument that written supplements should be filed. It should be apparent that I wish to develop a better record than presently exists by hearing counsel address the many questions raised by the pleadings, some of which questions are unusual and unprecedented, in order that my final rulings will not be overturned by the Commission on grounds of prematurity or because of an inadequate record.